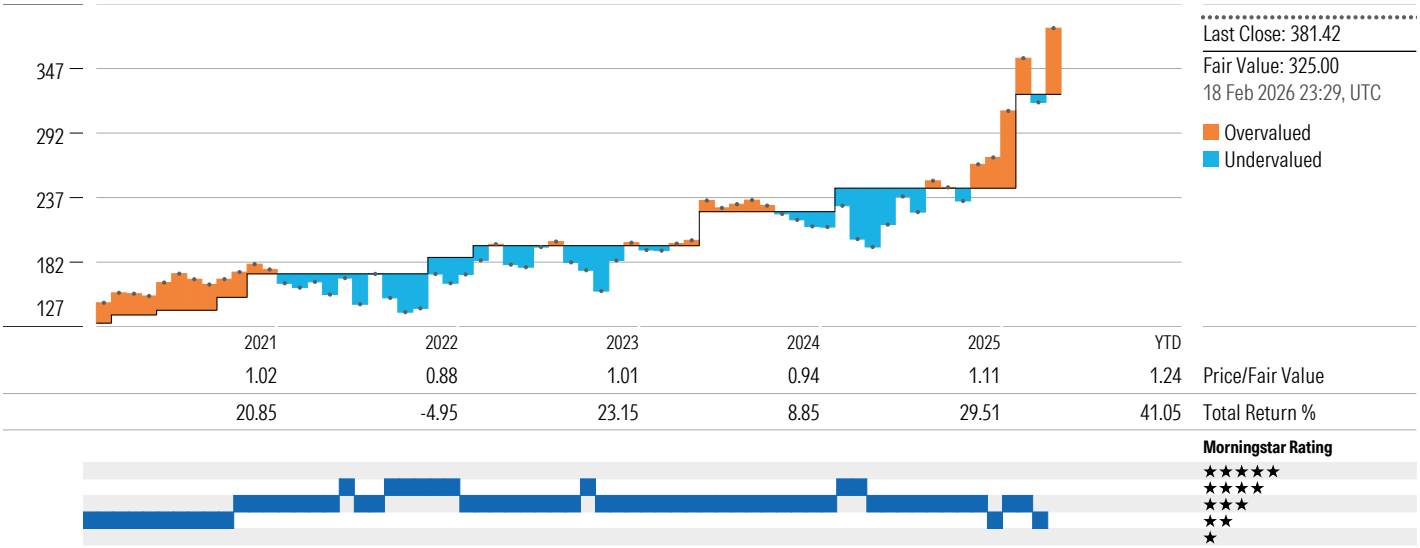
Analog Devices Inc ADI ★★ 23 Apr 2026 21:26, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
381.42 USD 22 Apr 2026	325.00 USD 19 Feb 2026 05:29, UTC	1.24	197.18 USD Bil 23 Apr 2026	Wide	Large Growth	High	Exemplary	22 Apr 2026 05:00, UTC

Price vs. Fair Value



	2021	2022	2023	2024	2025	YTD
Price/Fair Value	1.02	0.88	1.01	0.94	1.11	1.24
Total Return %	20.85	-4.95	23.15	8.85	29.51	41.05

Morningstar Rating

Total Return % as of 22 Apr 2026. Last Close as of 22 Apr 2026. Fair Value as of 18 Feb 2026 23:29, UTC.

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The primary analyst covering this company does not own its stock.

[1]The ESG Risk Rating Assessment is a representation of Sustainalytics' ESG Risk Rating.

Analog Devices Is Shaping Up as an AI Winner in Data Center and Testing Products

Business Strategy & Outlook Brian Colello, CPA, Senior Equity Analyst, 18 Feb 2026

Analog Devices is one of the world's largest analog and mixed-signal chipmakers and has an especially strong position in analog signal processing chips. We think it is well-positioned to profit from more advanced and higher-priced semiconductor content in automobiles, data centers, and industrial applications like medical devices and factory automation equipment in the years ahead.

Analog chips convert real-world signals, such as sound, temperature, and pressure, into digital signals for processing. We believe ADI has a wide economic moat because of its proprietary analog designs and high customer switching costs; since analog chips are neither particularly expensive nor do they require cutting-edge manufacturing techniques, high-quality analog chipmakers tend to retain design wins as the end product is being built, all while maintaining healthy pricing and strong profitability over time.

An especially promising end market for the firm is the automotive sector. Semis are required to enable the sensors, active safety systems, and advanced infotainment systems added to cars today. Electric vehicles have even more chip content per vehicle, and ADI is well positioned with a market-share lead in battery management systems for electric vehicles.

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Sector Technology

Industry Semiconductors

Business Description

Analog Devices is a leading analog, mixed-signal, and digital-signal processing chipmaker. The firm has a significant market share lead in converter chips, which are used to translate analog signals to digital and vice versa. The company serves tens of thousands of customers; more than half of its chip sales are to industrial and automotive end markets. ADI's chips are also incorporated into wireless infrastructure equipment.

We're also seeing a similar trend of increased chip content in industrial applications like robots, factory equipment, and medical devices. ADI has tens of thousands of customers in these end markets. AI and data centers are another booming area for ADI as it is a key supplier of Automated Test Equipment and also supplies optical and power semis into data centers.

Nonetheless, ADI still faces competition in a fragmented analog market from a host of well-capitalized companies with comparable chip design expertise. Furthermore, the analog chip industry remains cyclical, and sales will likely continue to fluctuate with these cycles.

Bulls Say Brian Colello, CPA, Senior Equity Analyst, 18 Feb 2026

- ADI is well positioned as a supplier into data centers and automated test equipment (ATE), both of which are booming with the AI infrastructure buildout.
- ADI has made shrewd acquisitions in recent years, as Linear Tech and Maxim Integrated have boosted its power management chip business.
- ADI is well positioned to profit from the long-term secular trend of increased electronics content in automobiles, such as in-dash infotainment displays and safety sensors.

Bears Say Brian Colello, CPA, Senior Equity Analyst, 18 Feb 2026

- Despite its strong position and diverse exposure, ADI is still vulnerable to the cyclicality of the overall semiconductor industry.
- If US-China trade tensions continue, customers in China may gravitate to analog parts made by ADI's neutral Europe-based rivals or Chinese domestic analog suppliers.
- ADI has especially strong exposure to the communications infrastructure end market, and spending by telecom makers on advanced networks has been notoriously lumpy.

Economic Moat Brian Colello, CPA, Senior Equity Analyst, 22 May 2025

We believe that ADI has a wide economic moat, thanks to intangible assets around proprietary analog chip design and manufacturing expertise, as well as switching costs that make it difficult to swap out analog chips for competing offerings once they are designed into a given electronic device. We are confident the firm is more likely than not to generate excess returns on capital over the next 20 years.

We believe that leading broad-based chipmakers like ADI (which we consider to be those well-versed in analog and mixed-signal semis) benefit from favorable characteristics that lend themselves to economic moats. First, we believe that engineering talent—especially in analog—is difficult to come by, as greater emphasis is placed on digital chip improvements, and it often takes years to train up-and-coming analog engineers in the intricacies of chip designs. Thus, it is extremely difficult for startups to replicate the many years of analog expertise held by incumbents.

Leading broad-based chipmakers like ADI also face stringent quality requirements in some end

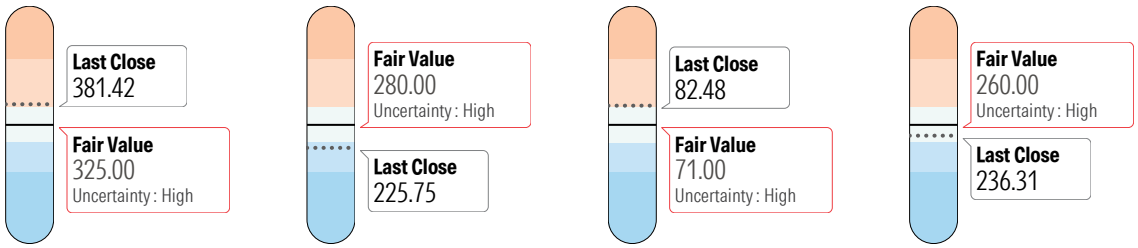
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Competitors



	Analog Devices Inc ADI	NXP Semiconductors NV NXPI	Microchip Technology Inc MCHP	Texas Instruments Inc TXN
Economic Moat	Wide	Wide	Wide	Wide
Currency	USD	USD	USD	USD
Fair Value	325.00 18 Feb 2026 23:29, UTC	280.00 29 Apr 2025 17:19, UTC	71.00 6 Feb 2026 03:04, UTC	260.00 23 Apr 2026 02:00, UTC
1-Star Price	503.75	434.00	110.05	403.00
5-Star Price	195.00	168.00	42.60	156.00
Assessment	Overvalued 23 Apr 2026	Undervalued 23 Apr 2026	Overvalued 23 Apr 2026	Fairly Valued 23 Apr 2026
Morningstar Rating	★★23 Apr 2026 21:26, UTC	★★★★23 Apr 2026 21:36, UTC	★★23 Apr 2026 21:23, UTC	★★★23 Apr 2026 21:29, UTC
Analyst	Brian Colello, Senior Equity Analyst	Brian Colello, Senior Equity Analyst	Brian Colello, Senior Equity Analyst	Brian Colello, Senior Equity Analyst
Capital Allocation	Exemplary	Standard	Standard	Exemplary
Price/Fair Value	1.24	0.86	1.28	1.09
Price/Sales	16.06	4.68	10.18	11.70
Price/Book	5.51	5.68	6.80	12.82
Price/Earning	68.58	28.30	—	39.53
Dividend Yield	1.07%	1.80%	2.21%	2.35%
Market Cap	197.26 Bil	60.94 Bil	49.04 Bil	257.12 Bil
52-Week Range	182.48—408.37	176.26—256.36	41.63—92.24	151.28—284.12
Investment Style	Large Growth	Large Blend	Mid Growth	Large Blend

markets, such as the automotive industry, for example, where defects can only be tolerated as low as 1 part per million. Although the broad-based chip market is quite fragmented, it would be difficult for any startup to achieve this level of quality while still satisfying high-volume production. Furthermore, broad-based semis like analog parts tend to make up only a small portion of a product's bill of materials, so purchasing decisions tend to be based on performance rather than price, helping firms retain pricing power. Automotive, industrial, and communications infrastructure customers are unlikely to choose an inferior analog chip to save pennies on the cost of a piece of equipment worth tens of thousands of dollars. A lower quality tolerance might be acceptable in devices with shorter useful lives, such as smartphones, PCs, and consumer gadgets, but moaty chipmakers tend to have limited exposure to these end markets.

Regarding customer switching costs, we believe that engineers are loath to swap out an analog chip from an existing design (again, only to save a few pennies on cost) because of the onerous redesign and

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retesting costs associated with the switch. One can imagine the frustration and possible reputational damage to a product if a perfectly functioning electric toothbrush or thermostat were to fail because of an unforeseen change in how an analog chip interacts with the rest of the circuit board. Again, such damages would be amplified in far more expensive equipment like cars, planes, and satellites.

In our view, Exhibit A for our switching cost thesis for ADI and its peers is the global chip shortage of 2021 and 2022. Instead of finding untested suppliers or securing any reasonably performing chip they could get their hands on, automotive and industrial companies halted production until their key chip suppliers could get the proper, reliable, well-tested, well-designed parts into their customers' hands. We did not see any meaningful market share loss during the shortage, as customers waited to receive the necessary chip rather than redesign their products to take on a lower-quality chip.

In addition to these favorable moat sources, broad-based chips like those built by ADI are trailing-edge products that don't require the hefty investments needed by digital processors, such as CPUs or GPUs, to move down Moore's Law. ADI has discussed how it is still earning revenue from products designed in the 1970s, as customers have been reluctant to switch.

In turn, broad-based chipmakers profit by having lower ongoing research and development and capital expenditure investments, which helps to contribute to healthy returns on capital for shareholders. Further, buyers of analog semis typically don't demand smaller chips packed with more transistors, but rather, reliable products that deliver the desired accuracy and precision in power management or signal processing. Shrinking the chip might not necessarily enhance accuracy (and might even serve to reduce it), so analog chips tend to be made with lagging-edge manufacturing techniques.

Many broad-based chipmakers like ADI take this benefit one step further by concentrating on end markets where product lives are measured in decades, as opposed to the increasingly short lifecycles associated with consumer devices like PCs or handsets. All else equal, we are less confident in outsize economic profits from chipmakers that serve the handset and PC industries, given the shorter product lifecycles, intense competition, and customer concentration as a handful of tech titans exert tremendous buying power.

Fair Value and Profit Drivers Brian Colello, CPA, Senior Equity Analyst, 18 Feb 2026

Our fair value estimate is $325 per share, which implies a fiscal 2026 (ending October) and 2027 price/earnings ratios of 28 times and 23 times, respectively, along with a 3% free cash flow yield.

ADI and its peers faced a chip industry downturn in the middle of calendar 2023, which led to the company generating only 2% growth in fiscal 2023 and a sharp 23% revenue decline in fiscal 2024. ADI saw a nice recovery in fiscal 2025 with 17% growth. We model 29% growth in fiscal 2026, not only thanks to this cyclical recovery, but also from structural tailwinds from ADI's strong position in data

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centers and automated test equipment. On a longer-term midcycle basis, we project that ADI will generate average annual sales growth of 12%, above management's prior target of a 7%-10% compound annual growth rate. Our above-guidance estimate stems from ADI's recent strength in data center products. Excluding data center, we also foresee ADI benefitting from increased electronics content in automotive and core industrial products.

Regarding adjusted gross margins, ADI provided guidance that investors should expect a 70% floor. ADI fell below this floor during the trough of the cyclical downturn in demand. Looking ahead, ADI's strong growth in recent quarters has brought adjusted gross margin above the 70% floor, and we think ADI will stay above this floor in the long-run. We model 72%-73% adjusted gross margins in each year of our five year forecast period.

ADI earned a stellar adjusted operating margin of 49% in fiscal 2022 and fiscal 2023, thanks to higher sales, full internal factory utilization, and a healthy chip pricing environment. We view this as a bit of a near-term peak as margin declined to 42% in fiscal 2025. We anticipate a recovery to 48% in fiscal 2026 and 50%-plus in fiscal 2028 and beyond, just above the high end of management's target of 42%-50%.

Risk and Uncertainty Brian Colello, CPA, Senior Equity Analyst, 22 May 2025

We have downgraded our Morningstar Uncertainty Rating to High from Medium for ADI due to greater uncertainty around tariffs and global trade, in addition to the customary cyclicality that weighs on semiconductor firms. The company's fortunes are also closely tied to the health of its various end markets. ADI earns more than half of its chip sales from the industrial and automotive end markets, so weakness in these sectors could spell trouble for the firm. It generates 10%-15% of revenue from the communications infrastructure market, where spending by wireless carriers to build out networks is especially lumpy. ADI's revenue in this segment may ebb and flow with the size and timing of various networking buildouts across the globe.

An additional near-term risk is US-China trade tensions. If Chinese customers today choose (or are forced) to move away from US suppliers, they may gravitate to some of ADI's Europe-based rivals, such as STMicro, Infineon, or NXP. China is supporting an ecosystem of domestic trailing-edge chips, and while we doubt any single firm can build an analog portfolio as broad or as high-quality as ADI, we recognize that greater competition is coming.

We do not foresee any material environmental, social, or governance issues on the horizon. Perhaps the greatest risk is the scarcity of experienced analog talent in the industry, but ADI's inorganic expansion has enabled the firm to acquire talent and reduced this risk, in our view.

Capital Allocation Brian Colello, CPA, Senior Equity Analyst, 18 Feb 2026

We assign Analog Devices an Exemplary Capital Allocation Rating, which reflects our assessment of a

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sound balance sheet, exceptional investments associated with the firm's strategy and execution, and attractive and appropriate shareholder distribution policies.

The balance sheet isn't the cleanest, as the company took on leverage to fund acquisitions. As of January 2026, ADI held $4.0 billion of cash and investments versus $8.6 billion of debt. However, we think the acquisitions were very smart deals, and ADI generates tremendous cash flow, so we are unconcerned about the firm's ability to reduce its debt obligations.

ADI veteran Vincent Roche became CEO in 2013 and chair in 2022. Overall, this management team has done an excellent job of growing organically while also expanding inorganically. ADI's large deals have been especially savvy, in our view. First, the firm made a smart move to acquire Hittite Microwave, paying what we consider a reasonable 30% premium for a highly profitable radio frequency chipmaker. We think ADI made another shrewd deal to acquire Linear Tech, the highest-margin analog chipmaker. ADI took on a relatively high degree of leverage to buy Linear, but strategically the deal makes quite a bit of sense, and we anticipate that ADI will generate healthy free cash flow to pay down the debt over time. Finally, we like the acquisition of Maxim Integrated to further boost ADI's power management chip portfolio. We also like that the company did so in an all-stock deal rather than taking on additional debt.

Analog Devices has done a good job of distributing cash to shareholders, raising its dividend to $1.10 per quarter and targeting a 10% annual dividend increase. ADI plans to distribute 100% of its free cash flow to shareholders through dividends and opportunistic stock buybacks.

Analyst Notes Archive

Analog Devices Earnings: Raising Fair Value to $325 from $245 Thanks to AI Demand Drivers Brian Colello, CPA,Senior Equity Analyst,19 Feb 2026

Analog Devices' fiscal first-quarter revenue was $3.16 billion, up 30% year over year and toward the high end of guidance. They expect April-quarter revenue of $3.5 billion, which would be up 33% year over year and ahead of typical seasonal patterns and FactSet's consensus estimate of $3.24 billion. Why it matters: Analog Devices delivered a blowout quarter, benefiting from robust demand for broad-based semis used in data center products as part of artificial intelligence buildouts, including optical and power semis, as well as parts used in automated test equipment for chip testing. ADI disclosed that data center and ATE revenue grew by more than 50% and 40%, respectively, in fiscal 2025, and this structural growth accelerated further in the first quarter. The company envisions 10%-plus annual growth in both product categories, and we suspect this estimate is conservative. In turn, revenue in ADI's largest segment, industrial, rose 38% year over year. Communications infrastructure revenue, including data centers, rose 63% year over year. The bottom line: We raise our fair value estimate for wide-moat ADI to $325 from $245, as we boost our near-term growth rates well above prior consensus estimates and model more robust long-term growth. Shares rose significantly from the $230 range in

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November to the $350 range before the result, likely thanks to AI optimism that we didn't fully appreciate until now. Shares still appear modestly overvalued to us, although ADI remains a best-of-breed chipmaker, in our view. Coming up: For the April quarter, by end market, the company expects industrial revenue to be up about 20% sequentially (again thanks to ATE and aerospace/defense). Sequentially, automotive revenue should be flat, while communications revenue (including data centers) should rise by a high-single-digit percentage.

Analog Devices Earnings: Cyclical Recovery in Full Swing; Maintaining $245 Fair Value Estimate

Brian Colello, CPA,Senior Equity Analyst,25 Nov 2025

Analog Devices reported fiscal fourth-quarter revenue of $3.08 billion, up 7% sequentially and 26% year over year and ahead of guidance. ADI's January-quarter revenue forecast of $3.1 billion would be up 28% year over year, ahead of seasonal patterns and above FactSet Consensus estimates.Why it matters: ADI is benefiting from a cyclical recovery in semiconductor demand, especially in industrial chips, while prospering from the artificial intelligence infrastructure buildout as demand for ADI's data center products is still strong. ADI expects annual growth in all end markets in fiscal 2026. In the October quarter, ADI's industrial revenue rose 11% sequentially and 33% year over year, again as the cyclical recovery is in full swing. Automotive revenue was flat sequentially but still rose 19% year over year.The bottom line: We maintain our $245 fair value estimate for wide-moat ADI. The shares were up as much as 4% on the earnings report and appear fairly valued to us. We still consider ADI to be a best-of-breed analog/mixed-signal chipmaker.Coming up: By end market, sequentially, ADI's revenue forecast for the January quarter implies about 5% growth in its largest segment, industrial, a 5% decline in automotive, 10% growth in communications, and a 12% decline in consumer revenue due to seasonal weakness. ADI is bullish about its content opportunities, noting that its design win pipeline grew 20% in fiscal 2025. Still, tariffs and macroeconomic uncertainty are causing management to be modestly cautious around its revenue guidance. The automotive end market still appears to be the most stubborn in terms of a recovery, which is what ADI's peers are seeing as well. Still, we believe ADI is gaining chip content per car, and we don't believe this secular long-term tailwind is abating in any meaningful way.

Analog Devices Earnings: Prospering From a Strong Cyclical Recovery; Shares Fairly Valued Brian Colello, CPA,Senior Equity Analyst,20 Aug 2025

Analog Devices reported fiscal third-quarter revenue of $2.88 billion, up 9% sequentially, up 25% year over year and above the high end of guidance. Its outlook for the October quarter calls for $3 billion in revenue, up 23% year over year and ahead of FactSet consensus estimates. Why it matters: ADI is well on pace to grow as part of a cyclical upturn in broad-based semis. We're encouraged by the firm's forecast—peers have been punished in recent weeks for expressing modest conservatism in their outlooks, but ADI's outlook shows relatively less hesitation, in our view. Industrial chip revenue grew 11% sequentially and 21% year over year, with all subsegments growing 10%-plus year over year.

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Aerospace and defense chip revenue within this segment had a record quarter. Communications revenue grew 18% sequentially and 40% year over year, driven in part by demand for wireline products used in artificial intelligence. The bottom line: We maintain our $245 fair value estimate for wide-moat Analog Devices and continue to view the business as a best-in-breed analog chipmaker. Shares were up modestly and are creeping closer to our fair value estimate, which was already anticipating a rebound in terms of growth and profitability. Coming up: By end market, ADI expects fiscal fourth-quarter revenue to grow fastest sequentially in industrial, with growth in consumer and communications, while automotive revenue will be down. ADI also hinted that it would grow at normal seasonal patterns in the fiscal first quarter. Adjusted operating margin is expected to expand 130 basis points sequentially to 43.5%, and adjusted gross margin should reach management's prior "floor" of 70%. Reaching this floor suggests to us that the severe cyclical downturn of 2024 is mostly, but not entirely, behind ADI. Long term, we're encouraged with ADI's comments that it expects a 10 times increase in chip content within humanoid robots versus industrial robots currently.

Analog Devices Earnings: Cyclical Upturn Is in Full Swing; Maintain $245 Fair Value Estimate Brian Colello, CPA,Senior Equity Analyst,22 May 2025

Analog Devices' fiscal second-quarter revenue of $2.64 billion grew 9% sequentially and was above the high end of guidance, with 10%-plus growth across all end markets. ADI's fiscal third-quarter revenue forecast of $2.75 billion was ahead of FactSet consensus estimates.Why it matters: ADI is amid a cyclical recovery after a severe downturn in fiscal 2024. Tariffs caused some bumpiness, and ADI estimated about 8% of its automotive chip revenue in the second quarter came from tariff pull-ins. Still, trends appear strong across all end markets. Second-quarter revenue of $2.64 billion grew 22% year over year. Communications was the brightest spot, up 32% year over year thanks to artificial intelligence exposure. Auto revenue rose 24% while industrial revenue rose 17% year over year, which we attribute to the cyclical upturn. End-market trends still appear to be solid. ADI's order bookings appear to be healthy, and we see no signs of deterioration in the strong analog chip portfolio.The bottom line: We maintain our $245 fair value estimate for wide-moat ADI but have downgraded our Morningstar Uncertainty Rating to High from Medium. The shares appear modestly undervalued to us, likely because of near-term tariff concerns. Despite the light selloff on the results, we view the quarter as a solid one.Coming up: ADI's third-quarter revenue forecast of $2.75 billion would be up 4% sequentially and 19% year over year. Adjusted gross margin should bounce back to around 70%. By end market, industrial and consumer revenue should drive outsize growth. Communications revenue, which is tied to AI, should be flattish sequentially. Automotive revenue should be down sequentially after a strong second quarter, which was again boosted by some tariff pull-ins.

Analog Devices: Appears Cheap Versus Our $245 Fair Value, but Less So If Stiff Tariffs Stay in Place Brian Colello, CPA,Senior Equity Analyst,4 Apr 2025

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Analog Devices Inc ADI ★★ 23 Apr 2026 21:26, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
381.42 USD 22 Apr 2026	325.00 USD 19 Feb 2026 05:29, UTC	1.24	197.18 USD Bil 23 Apr 2026	Wide	Large Growth	High	Exemplary	22 Apr 2026 05:00, UTC

We maintain our $245 fair value estimate and wide moat rating for Analog Devices, along with maintaining our ratings across the rest of our US and European analog/mixed signal chipmaker coverage. This is amid a host of tariffs levied by the US government, with our greatest concern stemming around the 25% tariffs on the automotive sector.Across our coverage, if the stated tariffs are retained, we can envision scenarios where our fair value estimates may fall 10%-20%. This downside would come if higher automotive production costs will lead to higher prices for buyers, lower volumes sold, and, thus, fewer chips deployed in these vehicles.We remain optimistic about the secular trend of rising chip content per car, especially within electric vehicles, but revenue growth from content gains per car might be partially (or fully) offset by volume declines. Similarly, these chipmakers were just starting to come out of a severe inventory correction across the industrial end market and a lesser one in automotive. We are modeling a snapback in demand as these excess inventories are used up, but lower production would stunt the magnitude of the cyclical recovery.Across the carnage of the April 3 selloff, Analog Devices looks the most overdone to us, trading near $180. We rarely see a discount in this best-of-breed chipmaker, and we like that ADI has a bit less exposure to autos and consumer devices than some of its peers. In a downside scenario where tariffs remain in place, we can envision about $2 billion in revenue and $2 in adjusted earnings per share being shaved off (down to, say, $11 billion and $8 in EPS in fiscal 2026) with average to below-average growth thereafter. However, we can still justify a $200 fair value estimate under these conditions. That said, the only tariff certainty is uncertainty at this point, and further downside scenarios are possible.

Analog Devices Earnings: Raising Our Fair Value to $245 From $225 as Near-Term Outlook Improves

Brian Colello, CPA,Senior Equity Analyst,19 Feb 2025

Wide-moat Analog Devices reported solid fiscal first-quarter results and provided an upbeat outlook for the second quarter as the business is returning to year-over-year growth after a severe cyclical downturn that led to a 23% revenue decline in fiscal 2024. We're encouraged by the anticipated rebound in industrial and automotive chip demand and think it bodes well for strong growth, albeit on easy comparisons, for ADI (and perhaps its peers) in the near term. We've raised our fair value estimate to $245 per share from $225.Revenue in the first quarter was $2.42 billion, down 1% sequentially and 4% year over year but toward the high end of guidance of $2.25 billion-$2.45 billion. ADI's largest segment, industrial, was up 1% sequentially and down 10% year over year, but it saw nice growth in test and aerospace/defense demand. Automotive revenue held up relatively well, up 2% sequentially and down 1% year over year and ahead of management's expectations, as ADI is in a strong position with Chinese electric vehicle makers. Communications revenue was a bright spot, up 5% sequentially as the wireline business (66% of segment revenue) is prospering from artificial intelligence buildouts. Adjusted gross margin improved 90 basis points sequentially to 68.8%, and we anticipate 70%-plus margins in the medium term as revenue recovers.For the second quarter, ADI expects revenue of $2.50 billion, which would represent growth of 3% sequentially and 16% year over year. On a sequential basis,

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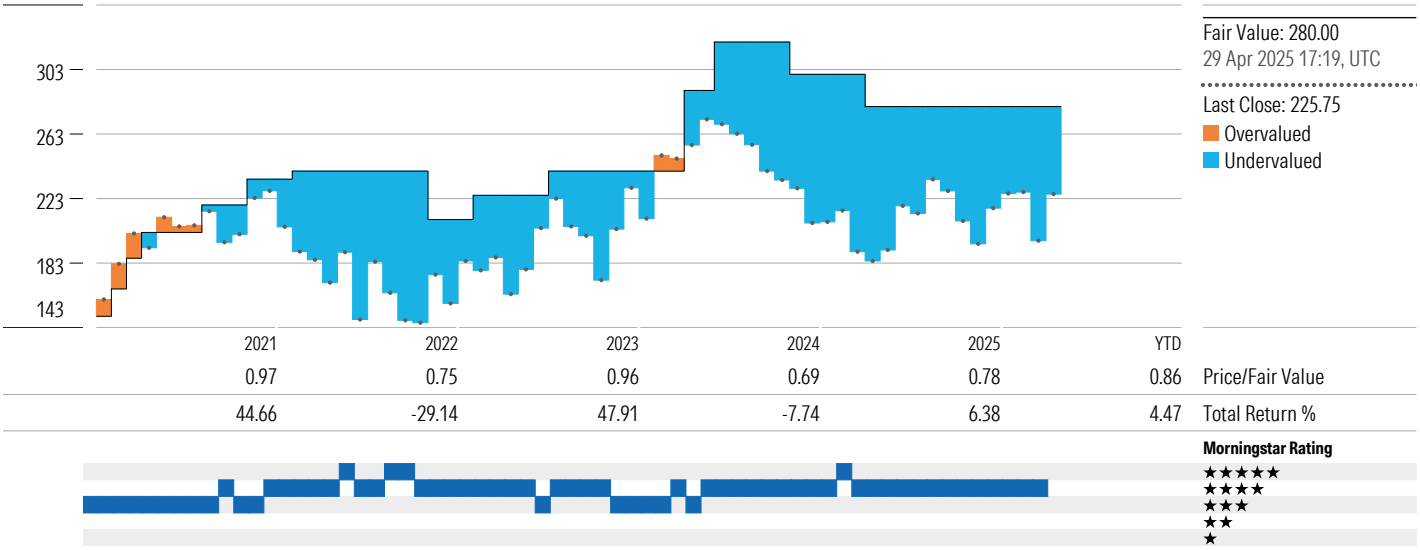
industrial revenue should grow fastest, auto should also grow, and consumer and communications revenue should decline due to normal seasonal weakness. Adjusted operating margin is expected to be flattish at 40.5%, which we think implies adjusted gross margin of about 68.5%.

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Analog Devices Inc ADI ★★ 23 Apr 2026 21:26, UTC

Competitors Price vs. Fair Value

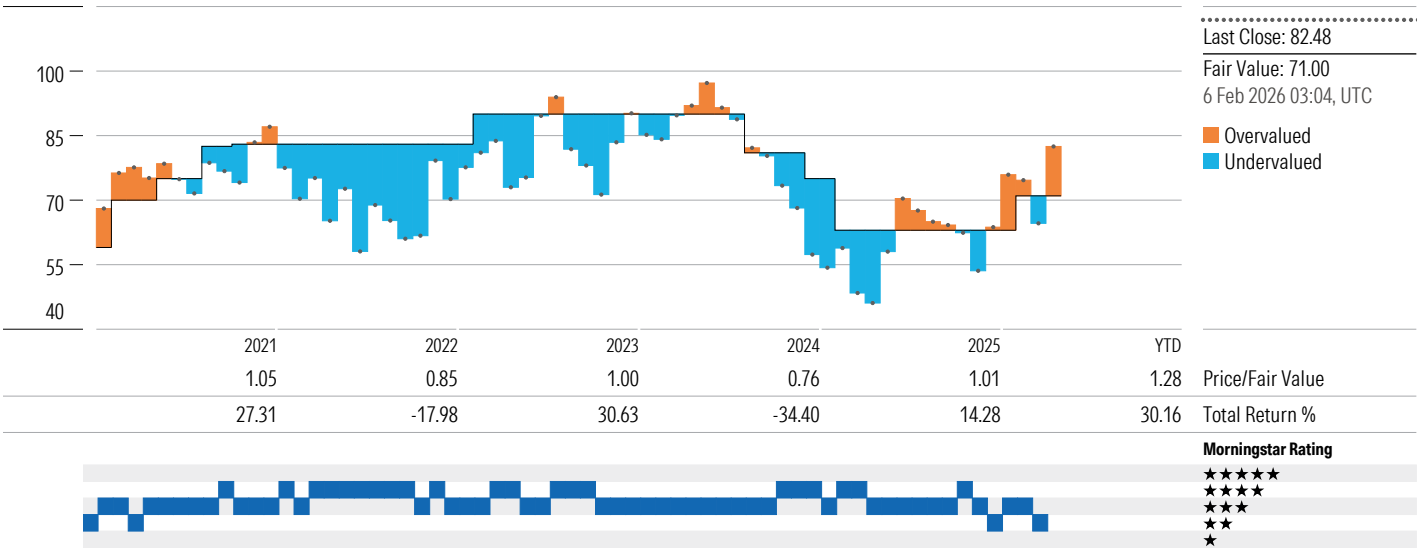
NXP Semiconductors NV NXPI



	2021	2022	2023	2024	2025	YTD	
	0.97	0.75	0.96	0.69	0.78	0.86	Price/Fair Value
	44.66	-29.14	47.91	-7.74	6.38	4.47	Total Return %

Total Return % as of 22 Apr 2026. Last Close as of 22 Apr 2026. Fair Value as of 29 Apr 2025 17:19, UTC.

Microchip Technology Inc MCHP



	2021	2022	2023	2024	2025	YTD	
	1.05	0.85	1.00	0.76	1.01	1.28	Price/Fair Value
	27.31	-17.98	30.63	-34.40	14.28	30.16	Total Return %

Total Return % as of 22 Apr 2026. Last Close as of 22 Apr 2026. Fair Value as of 6 Feb 2026 03:04, UTC.

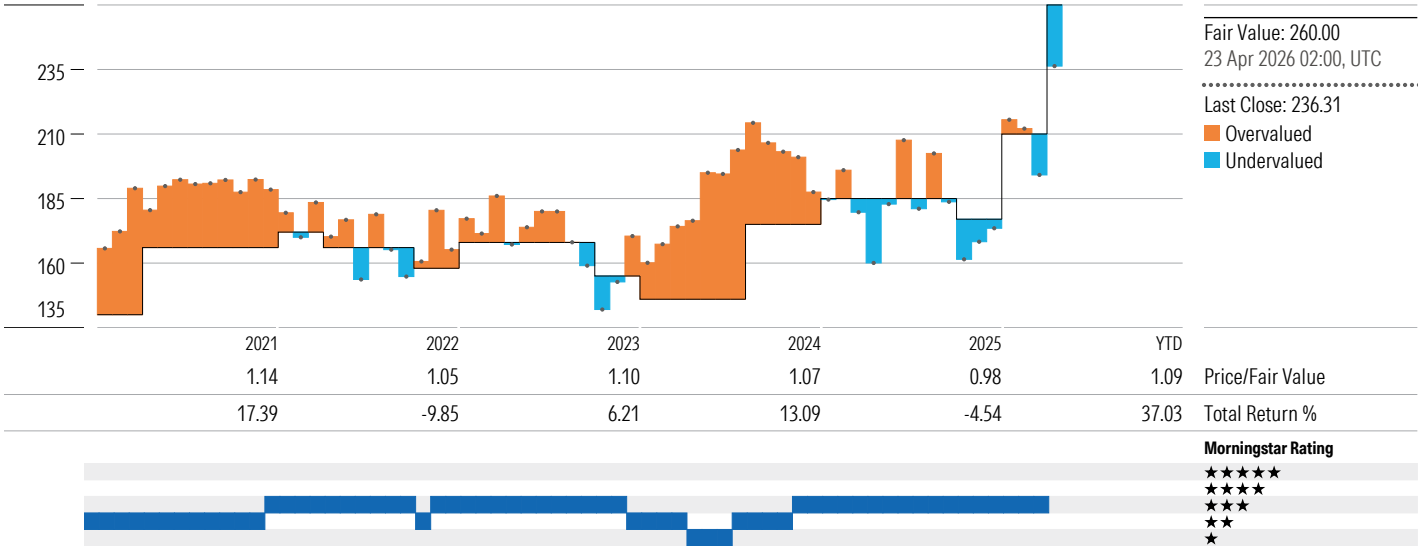
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Analog Devices Inc ADI ★★ 23 Apr 2026 21:26, UTC

Competitors Price vs. Fair Value

Texas Instruments Inc TXN



	2021	2022	2023	2024	2025	YTD	
	1.14	1.05	1.10	1.07	0.98	1.09	Price/Fair Value
	17.39	-9.85	6.21	13.09	-4.54	37.03	Total Return %

Total Return % as of 22 Apr 2026. Last Close as of 22 Apr 2026. Fair Value as of 23 Apr 2026 02:00, UTC.

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Analog Devices Inc ADI ★★ 23 Apr 2026 21:26, UTC

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Morningstar Valuation Model Summary

Financials as of 18 Feb 2026

Fiscal Year, ends 31 Oct	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030
Revenue (USD Mil)	12,306	9,427	11,020	14,186	16,021	17,826	19,845	22,102
Operating Income (USD Mil)	3,984	2,070	3,002	5,203	6,355	7,472	9,057	11,190
EBITDA (USD Mil)	6,116	4,137	4,931	7,180	8,395	9,494	10,792	12,251
Adjusted EBITDA (USD Mil)	6,116	4,137	4,931	7,180	8,395	9,494	10,792	12,251
Net Income (USD Mil)	3,315	1,635	2,267	4,327	5,348	6,331	7,720	9,586
Adjusted Net Income (USD Mil)	5,103	3,180	3,867	5,768	6,759	7,693	8,802	10,052
Free Cash Flow To The Firm (USD Mil)	4,034	4,371	3,192	5,070	6,473	6,949	7,859	8,838
Weighted Average Diluted Shares Outstanding (Mil)	506	499	497	492	487	483	479	475
Earnings Per Share (Diluted) (USD)	6.55	3.28	4.56	8.80	10.99	13.12	16.13	20.20
Adjusted Earnings Per Share (Diluted) (USD)	10.09	6.38	7.79	11.73	13.89	15.94	18.39	21.18
Dividends Per Share (USD)	3.34	3.62	3.89	4.29	4.70	5.10	5.50	5.90

Margins & Returns as of 18 Feb 2026

	3 Year Avg	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030	5 Year Avg
Operating Margin %	26.4	32.4	22.0	27.3	36.7	39.7	41.9	45.6	50.6	42.8
EBITDA Margin %	—	49.7	43.9	44.8	50.6	52.4	53.3	54.4	55.4	—
Adjusted EBITDA Margin %	—	49.7	43.9	44.8	50.6	52.4	53.3	54.4	55.4	53.2
Net Margin %	21.6	26.9	17.3	20.6	30.5	33.4	35.5	38.9	43.4	36.3
Adjusted Net Margin %	36.8	41.5	33.7	35.1	40.7	42.2	43.2	44.4	45.5	43.2
Free Cash Flow To The Firm Margin %	36.0	32.8	46.4	29.0	35.7	40.4	39.0	39.6	40.0	38.9

Growth & Ratios as of 18 Feb 2026

	3 Year CAGR	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030	5 Year CAGR
Revenue Growth %	-2.8	2.4	-23.4	16.9	28.7	12.9	11.3	11.3	11.4	14.9
Operating Income Growth %	-5.5	12.1	-48.0	45.0	73.3	22.1	17.6	21.2	23.5	30.1
EBITDA Growth %	-1.2	9.7	-32.4	19.2	45.6	16.9	13.1	13.7	13.5	20.6
Adjusted EBITDA Growth %	-4.0	9.7	-32.4	19.2	45.6	16.9	13.1	13.7	13.5	20.0
Earnings Per Share Growth %	-4.6	24.7	-50.0	39.2	92.8	24.9	19.4	23.0	25.2	34.6
Adjusted Earnings Per Share Growth %	-4.6	5.4	-36.8	22.1	50.7	18.4	14.8	15.4	15.2	34.6

Valuation as of 18 Feb 2026

	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030
Price/Earning	15.6	35.0	30.1	34.4	29.1	25.3	22.0	19.1
Price/Sales	6.3	11.8	10.5	13.9	12.3	11.1	9.9	8.9
Price/Book	2.2	3.2	3.4	5.8	5.4	5.0	4.5	3.9
Price/Cash Flow	—	—	—	—	—	—	—	—
EV/EBITDA	13.7	28.1	24.4	28.1	24.0	21.3	18.7	16.5
EV/EBIT	21.1	56.2	40.1	38.8	31.8	27.0	22.3	18.0
Dividend Yield %	2.1	1.6	1.7	1.1	1.2	1.3	1.4	1.5
Dividend Payout %	33.1	56.8	50.0	36.6	33.8	32.0	29.9	27.9
Free Cash Flow Yield %	—	—	—	—	—	—	—	—

Operating Performance / Profitability as of 18 Feb 2026

Fiscal Year, ends 31 Oct	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030
ROA %	6.8	3.4	4.7	9.1	10.7	11.9	13.4	14.9
ROE %	9.3	4.7	6.7	12.7	14.8	16.3	17.9	19.6
ROIC %	19.1	9.7	14.9	26.2	32.2	35.7	39.5	42.9

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Analog Devices Inc ADI ★★ 23 Apr 2026 21:26, UTC

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Financial Leverage (Reporting Currency)	Actual			Forecast				
Fiscal Year, ends 31 Oct	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Debt/Capital %	8.2	6.5	7.0	3.8	3.1	2.7	2.2	2.1
Assets/Equity	1.4	1.4	1.4	1.4	1.4	1.4	1.3	1.3
Net Debt/EBITDA	1.0	1.3	1.0	0.4	0.0	-0.4	-0.8	-1.2
Total Debt/EBITDA	1.1	1.8	1.8	0.9	0.7	0.6	0.4	0.4
EBITDA/ Net Interest Expense	28.4	16.2	22.4	35.2	40.5	48.6	58.9	71.5

Forecast Revisions as of 18 Feb 2026	2026		2027		2028	
Prior data as of 25 Nov 2025	**Current**	**Prior**	**Current**	**Prior**	**Current**	**Prior**
Fair Value Estimate Change (Trading Currency)	325.00	245.00	—	—	—	—
Revenue (USD Mil)	14,186	11,020	16,021	13,106	17,826	14,487
Operating Income (USD Mil)	5,203	3,002	6,355	4,319	7,472	5,162
EBITDA (USD Mil)	7,180	4,931	8,395	6,298	9,494	7,190
Net Income (USD Mil)	5,768	3,867	6,759	5,015	7,693	5,633
Earnings Per Share (Diluted) (USD)	8.80	4.56	10.99	7.26	13.12	8.52
Adjusted Earnings Per Share (Diluted) (USD)	11.73	7.79	13.89	10.21	15.94	11.59
Dividends Per Share (USD)	4.29	3.89	4.70	4.26	5.10	4.66

Key Valuation Drivers as of 18 Feb 2026

Cost of Equity %	9.0
Pre-Tax Cost of Debt %	5.8
Weighted Average Cost of Capital %	8.8
Long-Run Tax Rate %	12.0
Stage II EBI Growth Rate %	7.5
Stage II Investment Rate %	28.2
Perpetuity Year	20

Additional estimates and scenarios available for download at https://pitchbook.com/.

Discounted Cash Flow Valuation as of 18 Feb 2026

	USD Mil
Present Value Stage I	24,955
Present Value Stage II	65,416
Present Value Stage III	68,524
Total Firm Value	**158,896**
Cash and Equivalents	3,652
Debt	8,592
Other Adjustments	0
Equity Value	**153,956**
Projected Diluted Shares	484
Fair Value per Share (USD)	**325.00**

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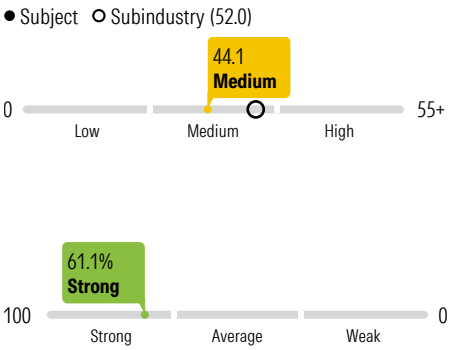
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ESG Risk Rating Breakdown

Exposure	
Company Exposure[1]	44.1
– Manageable Risk	40.9
Unmanageable Risk[2]	**3.1**
Management	
Manageable Risk	40.9
– Managed Risk[3]	25.0
Management Gap[4]	**15.9**
Overall Unmanaged Risk	**19.0**



- Exposure represents a company's vulnerability to ESG risks driven by their business model
- Exposure is assessed at the Subindustry level and then specified at the company level
- Scoring ranges from 0-55+ with categories of low, medium, and high-risk exposure

- Management measures a company's ability to manage ESG risks through its commitments and actions
- Management assesses a company's efficiency on ESG programs, practices, and policies
- Management score ranges from 0-100% showing how much manageable risk a company is managing

ESG Risk Rating



ESG Risk Ratings measure the degree to which a company's value is impacted by environmental, social, and governance risks, by evaluating the company's ability to manage the ESG risks it faces.

1. A company's Exposure to material ESG issues 2. Unmanageable Risk refers to risks that are inherent to a particular business model that cannot be managed by programs or initiatives 3. Managed Risk = Manageable Risk multiplied by a Management score of 61.1% 4. Management Gap assesses risks that are not managed, but are considered manageable 5. ESG Risk Rating Assessment = Overall Unmanaged Risk = Management Gap plus Unmanageable Risk

ESG Risk Rating Assessment[5]



ESG Risk Rating is of Apr 22, 2026. Highest Controversy Level is as of Apr 08, 2026. Sustainalytics Subindustry: Semiconductor Design and Manufacturing. Sustainalytics provides Morningstar with company ESG ratings and metrics on a monthly basis and as such, the ratings in Morningstar may not necessarily reflect current Sustainalytics' scores for the company. For the most up to date rating and more information, please visit: sustainalytics.com/esg-ratings/.

Peer Analysis 22 Apr 2026

Peers are selected from the company's Sustainalytics-defined Subindustry and are displayed based on the closest market cap values

Company Name	Exposure			Management			ESG Risk Rating		
Analog Devices Inc	44.1 | Medium	0	55+	61.1 | Strong	100	0	19.0 | Low	0	40+
Microchip Technology Inc	45.0 | Medium	0	55+	52.2 | Strong	100	0	23.3 | Medium	0	40+
Texas Instruments Inc	46.6 | Medium	0	55+	57.5 | Strong	100	0	21.8 | Medium	0	40+
NXP Semiconductors NV	45.6 | Medium	0	55+	69.3 | Strong	100	0	16.4 | Low	0	40+
Maxscend Microelectronics Co Ltd	44.8 | Medium	0	55+	25.3 | Average	100	0	34.3 | High	0	40+

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Appendix

Historical Morningstar Rating

Analog Devices Inc ADI 23 Apr 2026 21:26, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	★★	★★★	★★★	★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★★	★★★★	★★★	★★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★	★★★	★★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★★	★★★★	★★★★	★★★★	★★★	★★★	★★★★	★★★	★★★	★★★	★★★	★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★	★★★	★★	★★	★★	★★	★★	★★	★★	★★	★★	★★

NXP Semiconductors NV NXPI 23 Apr 2026 21:36, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	★★★★	★★★★	★★★★	★★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★★	★★★★	★★★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★	★★★★	★★★	★★★	★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★	★★★★	★★★★	★★★★	★★★★	★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★★	★★★★	★★★★★	★★★★★	★★★★	★★★★	★★★★★	★★★★	★★★★	★★★★	★★★★	★★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★	★★★	★★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★

Microchip Technology Inc MCHP 23 Apr 2026 21:23, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	★★	★★★	★★★	★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★★	★★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★★	★★★★	★★★	★★★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★★★	★★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★	★★★	★★★★	★★★★	★★★★	★★★	★★★	★★★★	★★★★	★★★	★★★	★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★★	★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★	★★★★	★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★	★★★	★★★★	★★★	★★★	★★★	★★★	★★★	★★	★★★	★★★	★★

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Texas Instruments Inc TXN 23 Apr 2026 21:29, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	★★★	★★★	★★★	★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★★	★★	★★	★★	★★	★	★	★	★★	★★	★★	★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★	★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★	★★	★★	★★	★★	★★	★★	★★	★★	★★	★★	★★

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Research Methodology for Valuing Companies

Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, indepth competitive advantage analysis, and a variety of other analytical tools to augment this process. Moreover, we think analyzing valuation through discounted cash flows presents a better lens for viewing cyclical companies, high-growth firms, businesses with finite lives (e.g., mines), or companies expected to generate negative earnings over the next few years. That said, we don't dismiss multiples altogether but rather use them as supporting cross-checks for our DCF-based fair value estimates. We also acknowledge that DCF models offer their own challenges (including a potential proliferation of estimated inputs and the possibility that the method may miss shortterm market-price movements), but we believe these negatives are mitigated by deep analysis and our longterm approach.

Morningstar's equity research group ("we," "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at a discount or premium to their intrinsic worth—or fair value estimate, in Morningstar terminology. Five-star stocks sell for the biggest risk adjusted discount to their fair values, whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating: (1) our assessment of the firm's economic moat, (2) our estimate of the stock's fair value, (3) our uncertainty around that fair value estimate and (4) the current market price. This process ultimately culminates in our singlepoint star rating.

1. Economic Moat

The concept of an economic moat plays a vital role not only in our qualitative assessment of a firm's long-term investment potential, but also in the actual calculation of our fair value estimates. An economic moat is a structural feature that allows a firm to sustain excess profits over a long period of time. We define economic profits as returns on invested capital (or ROIC) over and above our estimate of a firm's cost of capital, or weighted average cost of capital (or WACC). Without a moat, profits are more susceptible to competition. We have identified five sources of economic moats: intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Companies with a narrow moat are those we believe are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those in which we have very high confidence that excess returns will remain for 10 years, with excess returns more likely than not to remain for at least 20 years. The longer a firm generates economic profits, the higher its intrinsic value. We believe low-quality, no-moat companies will see their normalized returns gravitate toward the firm's cost of capital more quickly than companies with moats.

When considering a company's moat, we also assess whether there is a substantial threat of value destruction, stemming from risks related to ESG, industry disruption, financial health, or other idiosyncratic issues. In this context, a risk is considered potentially value destructive if its occurrence would eliminate a firm's economic profit on a cumulative or midcycle basis. If we deem the probability of occurrence sufficiently high, we would not characterize the company as possessing an economic moat.

2. Estimated Fair Value

Combining our analysts' financial forecasts with the firm's economic moat helps us assess how long returns on invested capital are likely to exceed the firm's cost of capital. Returns of firms with a wide economic moat rating are assumed to fade to the perpetuity period over a longer period of time than the returns of narrow-moat firms, and both will fade slower than no-moat firms, increasing our estimate of their intrinsic value.

Our model is divided into three distinct stages:

Stage I: Explicit Forecast

In this stage, which can last five to 10 years, analysts make full financial statement forecasts, including items such as revenue, profit margins, tax rates, changes in workingcapital accounts, and capital spending. Based on these projections, we calculate earnings before interest, after taxes (EBI) and the net new investment (NNI) to derive our annual free cash flow forecast.

Stage II: Fade

The second stage of our model is the period it will take the company's return on new invested capital—the return on capital of the next dollar invested ("RONIC")—to decline (or rise) to its cost of capital. During the Stage II period, we use a formula to approximate cash flows in lieu of explicitly modeling the income statement, balance sheet, and cash flow statement as we do in Stage I. The length of the second stage depends on the strength of the company's economic moat. We forecast this period to last anywhere from one year (for companies with no economic moat) to 10–15 years or more (for wide-moat companies). During this period, cash flows are forecast using four assumptions: an average growth rate for EBI over the period, a normalized investment rate, average return on new invested capital (RONIC), and the number of years until perpetuity, when excess returns cease. The investment rate and return on new invested capital decline until a perpetuity value is calculated. In the case of firms that do not earn their cost of capital, we assume marginal ROICs rise to the firm's cost of capital (usually attributable to less reinvestment), and we may truncate the second stage.

Stage III: Perpetuity

Once a company's marginal ROIC hits its cost of capital, we calculate a continuing value, using a standard perpetuity formula. At perpetuity, we assume that any growth or decline or investment in the business neither creates nor destroys value and that any new investment provides a return in line with estimated WACC.

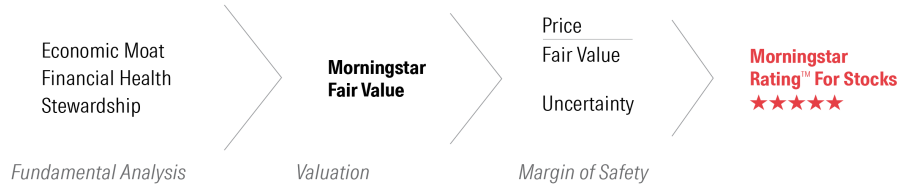
Because a dollar earned today is worth more than a dollar earned tomorrow, we discount our projections of cash flows in stages I, II, and III to arrive at a total present value of expected future cash flows. Because we are modeling free cash flow to the firm—representing cash available to provide a return to all capital providers—we discount future cash flows using the WACC, which is a weighted average of the costs of equity, debt, and preferred stock (and any other funding sources), using expected future proportionate long-term, market-value weights.

3. Uncertainty Around That Fair Value Estimate

Morningstar's Uncertainty Rating is designed to capture the range of potential outcomes for a company's intrinsic value. This rating is used to assign the margin of safety required before investing, which in turn explicitly drives our stock star rating system. The Uncertainty Rating is aimed at identifying the confidence we should have in assigning a fair value estimate for a given stock.

Our Uncertainty Rating is meant to take into account anything that can increase the potential dispersion of future

Morningstar Equity Research Star Rating Methodology



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outcomes for the intrinsic value of a company, and anything that can affect our ability to accurately predict these outcomes. The rating begins with a suggested rating produced by a quantitative process based on the trailing 12-month standard deviation of daily stock returns. An analyst overlay is then applied, with analysts using the suggested rating, historical rating data, and their own knowledge of the company to inform them as they make the final Uncertainty Rating decision. Ultimately, the rating decision rests with the analyst. Analysts take into account many characteristics when making their final decision, including cyclical factors, operational and financial factors such as leverage, company-specific events, ESG risks, and anything else that might increase the potential dispersion of future outcomes and our ability to estimate those outcomes.

Our recommended margin of safety—the discount to fair value demanded before we'd recommend buying or selling the stock—widens as our uncertainty of the estimated value of the equity increases. The more uncertain we are about the potential dispersion of outcomes, the greater the discount we require relative to our estimate of the value of the firm before we would recommend the purchase of the shares. In addition, the Uncertainty Rating provides guidance in portfolio construction based on risk tolerance.

Our Uncertainty Ratings are: Low, Medium, High, Very High, and Extreme.

	Margin of Safety	
Qualitative Analysis Uncertainty Ratings	★★★★★Rating	★Rating
Low	20% Discount	25% Premium
Medium	30% Discount	35% Premium
High	40% Discount	55% Premium
Very High	50% Discount	75% Premium
Extreme	75% Discount	300% Premium

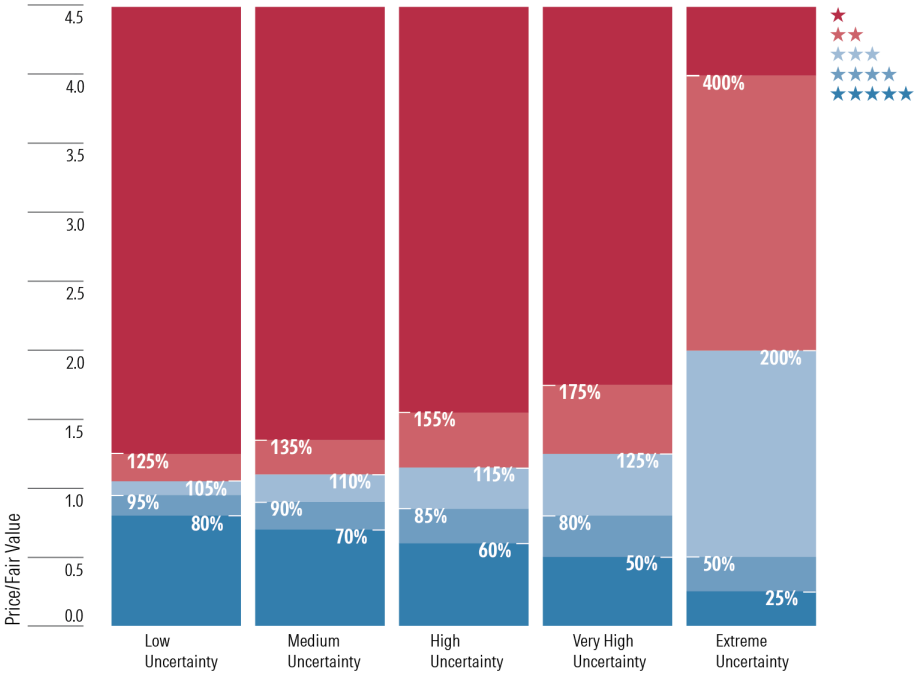
Our uncertainty rating is based on the interquartile range, or the middle 50% of potential outcomes, covering the 25th percentile–75th percentile. This means that when a stock hits 5 stars, we expect there is a 75% chance that the intrinsic value of that stock lies above the current market price. Similarly, when a stock hits 1 star, we expect there is a 75% chance that the intrinsic value of that stock lies below the current market price.

4. Market Price

The market prices used in this analysis and noted in the report come from exchange on which the stock is listed which we believe is a reliable source.

For more details about our methodology, please go to https://shareholders.morningstar.com

Morningstar Equity Research Star Rating Methodology



Morningstar Star Rating for Stocks

Once we determine the fair value estimate of a stock, we compare it with the stock's current market price on a daily basis, and the star rating is automatically re-calculated at the market close on every day the market on which the stock is listed is open. Our analysts keep close tabs on the companies they follow, and, based on thorough and ongoing analysis, raise or lower their fair value estimates as warranted.

Please note, there is no predefined distribution of stars. That is, the percentage of stocks that earn 5 stars can fluctuate daily, so the star ratings, in the aggregate, can serve as a gauge of the broader market's valuation. When there are many 5-star stocks, the stock market as a whole is more undervalued, in our opinion, than when very few companies garner our highest rating.

We expect that if our base-case assumptions are true the market price will converge on our fair value estimate over time generally within three years (although it is impossible to predict the exact time frame in which market prices may adjust).

Our star ratings are guideposts to a broad audience and individuals must consider their own specific investment goals, risk tolerance, tax situation, time horizon, income needs, and complete investment portfolio, among other factors.

The Morningstar Star Ratings for stocks are defined below:

★★★★★ We believe appreciation beyond a fair risk adjusted return is highly likely over a multiyear time frame. Scenario analysis developed by our analysts indicates that the current market price represents an excessively pessimistic outlook, limiting downside risk and maximizing upside potential.

★★★★ We believe appreciation beyond a fair risk-adjusted return is likely.

★★★ Indicates our belief that investors are likely to receive a fair risk-adjusted return (approximately cost of equity).

★★ We believe investors are likely to receive a less than fair risk-adjusted return.

★ Indicates a high probability of undesirable risk-adjusted returns from the current market price over a multiyear time frame, based on our analysis. Scenario analysis by our analysts indicates that the market is pricing in an excessively optimistic outlook, limiting upside potential and leaving the investor exposed to Capital loss.

Other Definitions

Last Price: Price of the stock as of the close of the market of the last trading day before date of the report.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments,

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and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments, and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Sustainalytics ESG Risk Rating Assessment: The ESG Risk Rating Assessment is provided by Sustainalytics; a Morningstar company.

Sustainalytics' ESG Risk Ratings measure the degree to which company's economic value at risk is driven by environment, social and governance (ESG) factors.

Sustainalytics analyzes over 1,300 data points to assess a company's exposure to and management of ESG risks. In other words, ESG Risk Ratings measures a company's unmanaged ESG Risks represented as a quantitative score. Unmanaged Risk is measured on an open-ended scale starting at zero (no risk) with lower scores representing less unmanaged risk and, for 95% of cases, the unmanaged ESG Risk score is below 50.

Based on their quantitative scores, companies are grouped into one of five Risk Categories (negligible, low, medium, high, severe). These risk categories are absolute, meaning that a 'high risk' assessment reflects a comparable degree of unmanaged ESG risk across all subindustries covered.

The ESG Risk Rating Assessment is a visual representation of Sustainalytics ESG Risk Categories on a 1 to 5 scale. Companies with Negligible Risk = 5 Globes, Low Risk = 4, Medium Risk = 3 Globes, High Risk = 2 Globes, Severe Risk = 1 Globe. For more information, please visit sustainalytics.com/esg-ratings/

Ratings should not be used as the sole basis in evaluating a company or security. Ratings involve unknown risks and uncertainties which may cause our expectations not to occur or to differ significantly from what was expected and should not be considered an offer or solicitation to buy or sell a security.

Risk Warning

Please note that investments in securities are subject to market and other risks and there is no assurance or guarantee that the intended investment objectives will be achieved. Past performance of a security may or may not be sustained in future and is no indication of future performance. A security investment return and an investor's principal value will fluctuate so that, when redeemed, an investor's shares may be worth more or less than their original cost. A security's current investment performance may be lower or higher than the investment performance noted within the report. Morningstar's Uncertainty Rating serves as a useful data point with respect to sensitivity analysis of the assumptions used in our determining a fair value price.

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